First Impressions: NZ household incomes, assets and savings update - June quarter 2026

#consumer #newzealand



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New Zealand incomes and savings are rising, as is the value of households' financial assets. However, the value of housing assets remains flat.



Key takeouts from Stats NZ's latest update on household incomes, assets and savings (June quarter 2026)

- Overall household income levels are continuing to rise. Much of that is due to increases in entrepreneurial earnings (which is in part due to increased earnings in the agricultural sector). Wage and salary growth has been more limited but has picked up.
- Household savings levels have been rising for three years now, with another solid rise over the past three months.
- Overall household wealth levels have risen modestly. Although the value of households' financial assets is continuing to rise, housing assets have essentially shown no growth since late 2023.
- Household spending on interest costs rose just slightly in the June quarter. That's the first increase in two years. The easing in average borrowing costs seen over the past few years has come to a close with the RBNZ's hiking cycle now in train.

Household incomes

Disposable income levels in the economy grew by 5.2% in the year to June, down from 6.5% in the year to March

- Underpinning the rise in overall income levels have been continued increases in entrepreneurial earnings, which are up 12% over the past year. That will include stronger earnings in the agricultural sector, which has been boosted by the strength in commodity export prices. That lift in agricultural earnings has been reflected in stronger economic confidence and spending in many rural regions. We expect commodity export earnings will remain firm over the year ahead.
- In contrast, wage and salary earnings are up just 2.7% over the past year. That's up from 1.8% in the year to March, but it's a fairly muted rise, especially given the continued increases in the population and inflation of 4.1%.

Savings and wealth

Household savings have continued to rise, climbing by $2.5b over the past quarter.

- June's large increase in savings builds on the solid increases seen over the past three years.
- The savings rate in the June quarter was 3.7% of disposable incomes, down just slightly from last quarter.

Overall household wealth levels were up 1.9% over the past year. Under the surface, the make-up of household wealth continues to shift.

- The value of households' financial assets has continued to rise and is up 4.6% over the past year.
- However, the value of housing and land assets is down 0.9% over the past year, and it has remained essentially unchanged since late 2023. We expect housing market conditions will remain soft over the coming year, limiting increases in overall household wealth.

Interest costs

- Households' spending on interest costs rose just slightly in the June quarter, climbing by 0.3%.
- While that's a relatively small change, it is the first increase that we've seen in two years.

- Over the past few years, many borrowers saw their debt servicing costs fall as they rolled off earlier high mortgage rates and onto lower ones. That helped to support household spending.
- However, the easing in average borrowing cost has now ended. Recent months have seen mortgage rates pushing higher as the RBNZ has begun to hike the Official Cash Rate, with further hikes expected over the coming year.
- Looking ahead, we don't expect a significant increase in average household borrowing costs. However, we won't see the same support for spending that we did over the past few years.

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